

2026-05-02 - The Long Term Investor

How do you define or gauge a long-term investor?

The long-term investor does not time the market. They neither acquire nor dispose of stocks on the basis of hype, momentum, or short-term outlook.

Long-term here means a baseline holding period of five to ten years — long enough that quarterly noise is irrelevant and compounding, not trading, drives returns.

The long-term investor holds stocks they have reasoned will prevail through significant market turmoil — and acquires them at prices that allow for being wrong. Conviction is paired with a margin of safety, not a substitute for one.

Stocks are acquired based on a detailed set of targets and metrics grounded in the long-term prospects of the company.

Stocks are disposed of only under two conditions: (1) the long-term narrative of the company has structurally broken, or (2) an alternative holding offers a materially and durably better expected outcome — not a marginal one. Tax friction and the risk of being wrong about the alternative raise the bar.

The targets and metrics cover a broad range of circumstances. They include things such as:

- The company's financial health and stability
- The company's competitive position in its industry
- The company's management and leadership
- The company's growth potential and innovation
- Social and environmental factors that bear on long-term prospects — regulatory risk, license to operate, talent attraction

To compare stocks across sectors and market caps, raw metrics are converted to *standardized regression coefficients* (sometimes loosely called *standardized betas*). Each metric is rescaled so its values sit on a common footing — variance of 1 — letting a software firm and a railroad be evaluated on the same axis. *Note: this is distinct from the classic finance beta, which measures covariance with the broad market.*

An allowable range for each standardized metric is agreed by the investors and reviewed periodically.

Bounded by Familiarity

The number of stocks in a holding is likely to be between a dozen and three dozen. This facilitates every person in the organization being reasonably familiar with all the stocks in the holdings.

The basket spans multiple sectors and, where prudent, geographies. No single sector exceeds an agreed share of the total.

No single or small number of stocks are held in such numbers as to outweigh the importance of all the others. The different percentages of the holdings are also part of an agreed metric and target.

The number of targets and metrics is likely to be around 30 or so. To assist with gauging the viability of an individual stock, targets and metrics for the entire list of the S&P 500 will be maintained.

Sharing information

In order to communicate with other similarly minded investors, the investor maintains a spreadsheet of the stocks in the holding along with a percentage of the holding.

An imaginary portfolio — say, \$1,000,000 allocated across the current holdings at their target weights — serves three purposes: it makes the strategy concrete and shareable, it produces a track record over time, and it forces the investor to commit to actual weights rather than vague preferences.

The spreadsheet also contains columns for the rationale for acquiring the stock, the rationale for disposing of the stock, and the targets and metrics for each stock. The spreadsheet is updated on a regular basis, and is shared partially or completely with other investors.

Some, but not all of these thoughts are based on the advice of my current financial advisor:

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